

may nevertheless be recoverable in the discretion of the court if they meet the above requirements (i.e., reasonably necessary and reasonable in amount). (*Ladas v. California State Automotive Assoc.* (1993) 19 Cal.App.4th 761, 773-774.) If the items appearing in a cost bill appear to be proper charges, the burden is on the party seeking to tax costs to show that they were not reasonable or necessary. *Id.* at 773-774. On the other hand, if the items are properly objected to, they are put in issue and the burden of proof is on the party claiming them as costs. *Id.*

The memorandum of costs must be filed and served "within 15 days after the date of service of the notice of entry of judgment or dismissal by the clerk under Code of Civil Procedure section 664.5 or the date of service of written notice of entry of judgment or dismissal, or within 180 days after entry of judgment, whichever is first." (Cal. Rules of Court, rule 3.1700(a)(1).) "Any notice of motion to strike or to tax costs must be served and filed 15 days after service of the cost memorandum." (Cal. Rules of Court, rule 3.1700(b)(1).) "Unless objection is made to the entire cost memorandum, the motion to strike or tax costs must refer to each item objected to by the same number and appear in the same order as the corresponding cost item claimed on the memorandum of costs and must state why the item is objectionable." (Cal. Rules of Court, rule 3.1700(b)(2).)

Prejudgment Interest (\$42,171.16 sought to be stricken)

Defendant argues that Plaintiff is not entitled to prejudgment interest from the time Plaintiff served a § 998 offer on the grounds that the offer was invalid. Defendant argues that because Plaintiff's § 998 offer of \$75,000 exceeded Defendant's policy limits, the offer was unreasonable and not made in good faith.

In any action brought to recover damages for personal injury sustained by any person resulting from or occasioned by the tort of any other person, corporation, association, or partnership, whether by negligence or by willful intent of the other person, corporation, association, or partnership, and whether the injury was fatal or otherwise, it is lawful for the plaintiff in the complaint to claim interest on the damages alleged as provided in this section.

If the plaintiff makes an offer pursuant to Section 998 of the Code of Civil Procedure **which the defendant does not accept prior to trial** or within 30 days, whichever occurs first, and the plaintiff obtains a more favorable judgment, the judgment shall bear interest at the legal rate of 10 percent per annum calculated from the date of the plaintiff's first offer pursuant to Section 998 of the Code of Civil Procedure which is exceeded by the judgment, and interest shall accrue until the satisfaction of judgment.

(Civ. Code, § 3291.)

Pre-judgment interest is a recoverable cost, as it is "[a]ny other item that is required to be awarded to the prevailing party pursuant to statute as

an incident to prevailing in the action at trial or on appeal.” (§ 1033.5, subd. (a)(16); *Wagy v. Brown* (1994) 24 Cal.App.4th 1, 8.)

A token or bad faith offer does not trigger Section 998’s cost shifting provision. (*Wear v. Calderon* (1981) 121 Cal.App.3d 818, 821.) The trial court has discretion to determine whether the offer was made in good faith. (*Regency Outdoor Advertising, Inc. v. City of Los Angeles* (2006) 39 Cal.4th 507, 531.) Reasonableness is measured by the circumstances which existed at the time and “by determining whether the offer represents a reasonable prediction of the amount of money, if any, [the offeror] would have to pay [the offeree] following a trial, discounted by an appropriate factor for receipt of money by [the offeree] before trial” (*Elrod v. Oregon Cummins Diesel, Inc.* (1987) 195 Cal.App.3d 692, 699.) The party challenging the reasonableness of the 998 offer bears the burden of proof. (*Id.* at 700.) The following factors are considered: the ultimate jury verdict, defendant’s apparent liability, plaintiff’s damages, insurance coverage, jury reports, and information available to the plaintiff. (*Id.* at 698-700.)

Where a verdict is a more favorable outcome than a party’s §998 offer, that fact constitutes prima facie evidence that the offer was reasonable. (*Smalley v. Subaru of America, Inc.* (2022) 87 Cal.App.5th 450, 458.) The burden is therefore on the offeree to prove the offer was in “bad faith.”

Here, the court finds that Defendant has failed to meet his burden of establishing that the offer was made in bad faith. Here, the jury returned a special verdict finding that Plaintiff suffered total economic damages in the amount of \$240,000 and non-economic damages in the amount of \$302,000, for a total award of \$542,000. Plaintiff’s § 998 offer of \$75,000, which is significantly lower, constitute prima facie evidence that the offer was reasonable. Defendant has not offered any admissible evidence to establish that the offer was unreasonable. Instead, Defendant merely categorically argues that because Plaintiff’s §998 offer exceeded policy limits, the offer was de facto unreasonable. Defendant has not addressed any of the factors for challenging the reasonableness of a 998 offer, e.g., the ultimate jury verdict, defendant’s apparent liability, plaintiff’s damages, jury reports, and/or what information was available to plaintiff. Indeed, an offer in excess of the policy limits, in and of itself, does not demonstrate that a Plaintiff acted in bad faith. (*Aguilar v. Gostischef* (2013) 220 Cal.App.4th 475, 480-481).

For this reason, Defendant’s request to tax Plaintiff’s prejudgment interest is DENIED.

In Plaintiff’s opposition, Plaintiff has updated the amount of prejudgment interest to \$68,750.90. The updated amount requested by Plaintiff for prejudgment interest is GRANTED. (Code of Civ. Proc. § 3291 (prejudgment interest continues to accrue until judgment is satisfied)).

Item 1: Filing and Motion Fees

Defendant seeks to tax \$460.75 in filing fees as unsupported. The opposition explains that Plaintiff seeks costs related to filing the complaint plus a \$35.75 e-filing service fee. The court finds that \$460.75 is a